

=== ĐỀ THI FIN202_SP26_B5RE_683205 ===

Thời gian: 60 phút

FORMAT ĐÁP ÁN:

- Trắc nghiệm (1-50): 1A 2B 3AB ... (nhiều đáp án: 3AB)

1. (Choose 1 answer)

Which one of the following statements is NOT true?

- A. The accounts receivable turnover ratio measures how quickly the firm collects its credit sales.
- B. One ratio that measures the efficiency of a firm's collection policy is days' sales outstanding.
- C. The more days that it takes a firm to collect its receivables, the more efficient the firm is.
- D. Days' sales outstanding measures how many days a firm takes to convert its receivables into cash.

A.

B.

C.

D.

2. (Choose 1 answer)

In the latest year, Photon, Inc. reported \$276,000 in net income. The firm maintains a debt ratio of 30 percent and has total assets of \$3,000,000. What is Photon's return on equity? (Round your percentage answer to one decimal place.)

A. 13.1%

B. 14.6%

C. 22.25%

D. 18.7%

A.

B.

C.

D.

3. (Choose 1 answer)

Jorge Cabrera paid \$980 for a 15-year bond 10 years ago. The bond pays a coupon of 10 percent semiannually. Today, the bond is priced at \$1,064.36. If he sells the bond today, what will be his realized yield?

(Round to the nearest percent.)

A. 12%

B. 8%

C. 11%

D. 9%

A.

B.

C.

D.

4. (Choose 1 answer)

Suppose an investor earned a semiannual yield of 6.4 percent on a bond paying coupons twice a year. What is the effective annual yield (EAY) on this investment? (Round to two decimal places.)

A. 12.80%

B. 6.40%

C. 6.50%

D. 13.21%

A.

B.

C.

D.

5. (Choose 1 answer)

Which one of the following statements is NOT true?

A. The relationship between yield to maturity and marketability is known as the term structure of interest rates.

B. The shape of the yield curve is not constant over time.

C. As the general level of interest rises and falls over time, the yield curve shifts up and down and has different slopes.

D. Yield curves show graphically how market yields vary as term to maturity changes.

A.

B.

C.

D.

6. (Choose 1 answer)

Which of the following statements is true about dealer markets?

A. NYSE is the best-known example of a dealer market.

B. A dealer market involves time-consuming search for a fair deal.

C. The advantage of a dealer over a brokered market is that brokers cannot guarantee that an order will be executed promptly, while dealers can promise execution due to their holding of inventory of securities.

D. Buying and selling in dealer markets take quite some time to execute.

A.

B.

C.

D.

7. (Choose 1 answer)

Assume that you are considering the purchase of a stock which will pay dividends of \$4.50 during the next year. Further assume that you will be able to sell the stock for \$86.00 one year from today and that your required rate of return is 15 percent. How much would you be willing to pay for the stock today? (Round to the nearest \$0.01.)

A. \$89.50

B. \$65.37

C. \$94.10

D. \$77.83

A.

B.

C.

D.

8. (Choose 1 answer)

Johnson Corporation has just paid a dividend of \$4.45. The company has forecasted a constant dividend growth rate of 8 percent forever. If the appropriate discount rate is 14 percent, what is the current price of this stock? (Round to the nearest dollar.)

A. \$74

B. \$32

C. \$80

D. \$60

A.

B.

C.

D.

9. (Choose 1 answer)

Which of the following statements about preferred stock is FALSE?

A. Preferred stock has a higher-priority claim on the firm's assets than the common stock.

B. Failure to pay dividends on preferred stocks will result in a default.

C. Preferred stock has a lower-priority claim on the firm's assets than the firm's creditors in the event of default.

D. Preferred stock typically pays a fixed dividend.

A.

B.

C.

D.

10. (Choose 1 answer)

[no text]

A.

B.

C.

D.

11. (Choose 1 answer)

Johnson Entertainment Systems is setting up to manufacture a new line of video game consoles. The cost of the manufacturing equipment is \$1,750,000. Expected cash flows over the next four years are \$725,000, \$850,000, \$1,200,000, and \$150,000. Given the company's required rate of return of 15 percent, what is the NPV of this project? (Do not round intermediate computations. Round final answer to nearest dollar.)

A. \$1,169,806

B. \$2,919,806

C. \$469,806

D. \$3,122,607

A.

B.

C.

D.

12. (Choose 1 answer)

Carmen Electronics bought new machinery for \$5 million. This is expected to result in additional cash flows of \$1.2 million over the next seven years. The firm's cost of capital is 12 percent. What is the discounted payback period for this project? If the firm's acceptance period is five years, will this project be accepted? (Do not round intermediate computations. Round your answer to one decimal place.)

A. 5.4; yes

B. 6.1; no

C. 6.1; yes

D. 4.2; yes

A.

B.

C.

D.

13. (Choose 1 answer)

The cash flows used in capital budgeting calculations are based on:

A. historical estimates.

B. forecasts of future cash revenues, expenses, and investment outlays.

C. forecasts of net income.

D. forecasts of retained earnings available for financing projects.

A.

B.

C.

D.

14. (Choose 1 answer)

_____ represent dollars stated in terms of constant purchasing power.

A. Nominal dollars

B. Real dollars

C. Inflated dollars

D. Constant dollars

A.

B.

C.

D.

15. (Choose 1 answer)

Milonalo Corp. purchased a truck that currently has a book value of \$1,000. If the firm sells the truck for \$5,000 today, then what is the amount of cash that it will net after taxes if the firm is subject to a 15 percent marginal tax rate?

A. \$1,200

B. \$4,400

C. \$3,400

D. \$6,000

A.

B.

C.

D.

16. (Choose 1 answer)

Your firm is deciding whether to purchase a durable delivery vehicle or a short-term vehicle. The durable vehicle costs \$25,000 and should last five years. The short-term vehicle costs \$10,000 and should last two years. If the cost of capital for the firm is 15 percent, then what is the equivalent annual cost for the best choice for the firm? (Round final answer to nearest whole dollar.)

A. \$5,000, either vehicle

B. \$5,000, short-term vehicle

C. \$6,151, short-term vehicle

D. \$7,458, long-term vehicle

A.

B.

C.

D.

17. (Choose 1 answer)

Which of the following describes the effect of changes in sets of interrelated variables?

A. A sensitivity analysis

B. A scenario analysis

C. A Monte Carlo simulation

D. A horizontal analysis

A.

B.

C.

D.

18. (Choose 1 answer)

Which of the following statements is true about zero coupon bonds?

A. They typically sell at a premium over par when they are first issued.

B. They typically sell for a higher price than similar coupon bonds.

- C. They are always convertible to common stock.
- D. They typically sell at a deep discount below par when they are first issued.
- A.
- B.
- C.
- D.

19. (Choose 1 answer)

Briar Corp is issuing a 10-year bond with a coupon rate of 7 percent. The interest rate for similar bonds is currently 9 percent. Assuming annual payments, what is the present value of the bond? (Do not round intermediate computations. Round your final answer to the nearest dollar.)

- A. \$872
- B. \$1,066
- C. \$990
- D. \$945

- A.
- B.
- C.
- D.

20. (Choose 1 answer)

In calculating the current price of a bond paying semiannual coupons, one needs to:

A. Use the annual discount rate for discounting the par payment at maturity.

B. Use double the annual coupon value.

C. Use the semiannual rate only for discounting the annual coupons.

D. Use double the number of years for the number of payments made.

A.

B.

C.

D.

21. (Choose 1 answer)

Modern Federal Bank is setting up a brand-new branch. The cost of the project will be \$1.2 million. The branch will create additional cash flows of \$235,000, \$412,300, \$665,000 and \$875,000 over the next four years. The firm's cost of capital is 12 percent. What is the internal rate of return on this branch expansion? (Do not round intermediate computations. Round final answer to the nearest percent.)

A. 20%

B. 23%

C. 25%

D. 27%

A.

B.

C.

D.

22. (Choose 1 answer)

WACC: 7%

Year	0	1	2	3
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CFS	-\$1,100	\$500	\$600	\$200
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CFL	-\$2,700	\$600	\$700	\$1,800
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A. 4.250%

B. 9.67%

C. 10.16%

D. 10.38%

A.

B.

C.

D.

23. (Choose 1 answer)

A trademark is an example of:

- A. a liquid asset.
- B. an intangible asset.
- C. a contingent asset.
- D. a physical asset.

A.

B.

C.

D.

24. (Choose 1 answer)

Which organizational form best enables the owners of a firm to monitor the professional conduct of other owners of the same firm?

- A. Sole proprietorship
- B. Partnership
- C. Private corporation
- D. Public corporation

A.

B.

C.

D.

25. (Choose 1 answer)

Which of the following is primarily responsible for managing all financial aspects of a firm?

- A. CFO
- B. CEO
- C. Board of directors
- D. Audit committee

A.

B.

C.

D.

26. (Choose 1 answer)

Which of the following factors or activities can be controlled by a firm's managers?

- A. Capital budgeting decision
- B. The level of economic activity
- C. The level of market interest rates
- D. Stock market conditions

A.

B.

C.

D.

27. (Choose 1 answer)

Executives that repeatedly put their own interests before that of the firm may find that they have difficulty in finding another job after their current one. This is an example of:

- A. the managerial labor market disciplining managers.
- B. the market for corporate control.
- C. the board of directors affecting the prospects of a manager.
- D. the agency problem.

A.

B.

C.

D.

28. (Choose 1 answer)

Your uncle is planning to sell his second home in Bethany Beach, Delaware in the next few weeks. You are interested in buying this beachside property, so your agent negotiates a price for the house with your uncle's agent. This transaction is an example of:

- A. cost principle.
- B. assumption of arm's-length transactions.

C. realization principle.

D. going concern assumption.

A.

B.

C.

D.

29. (Choose 1 answer)

[no text]

A.

B.

C.

D.

30. (Choose 1 answer)

Which of the following statements is NOT a limitation associated with market valuation of balance sheet accounts?

A. It can be difficult to identify the market value of an asset, particularly if there are few transactions involving comparable assets.

B. The estimates of market value can involve complex financial modeling, and the resulting numbers can be open to manipulation and abuse.

C. Marking to market provides decision makers with a better chance of making the correct economic decision, given the information available.

D. Mark-to-market accounting can become inaccurate if market prices deviate from the "fundamental" values of assets and liabilities.

A.

B.

C.

D.

31. (Choose 1 answer)

Centennial Brewery produced revenues of \$1,145,227 in 2022. It has expenses (excluding depreciation) of \$812,640, depreciation of \$131,335, and interest expense of \$81,112. It pays an average tax rate of 34 percent.

What is the firm's net income after taxes? Round your final answer to the nearest dollar.

A. \$120,140

B. \$248,475

C. \$79,292

D. \$40,848

A.

B.

C.

D.

32. (Choose 1 answer)

What is the fundamental belief behind the Time Value of Money (TVM)?

- A. People prefer to save today rather than spend.
- B. People prefer to consume goods today rather than in the future.
- C. Money loses value over time.
- D. Interest rates increase over time.

A.

B.

C.

D.

33. (Choose 1 answer)

Carlos Lopes is looking to invest for the next three years. He is looking to invest \$7,500 today in a bank CD that will earn interest at 5.75 percent annually. How much will he have at the end of three years? (Round to the nearest dollar.)

A. \$8,870

B. \$8,575

C. \$8,681

D. \$8,990

A.

B.

C.

D.

34. (Choose 1 answer)

Which of the following equations is used to compute the future value using continuous compounding?

(1) $FV_{00} = PV \times e^{i \times n}$

(2) $FV_{00} = PV \div e^{i \times n}$

(3) $FV_{00} = e^{i} \div PV$

(4) $FV_{00} = e^{i} \times PV$

A. (i)

B. (ii)

C. (iii)

D. (iv)

35. (Choose 1 answer)

What is the present value of \$1,000 received in 2 years if the discount rate is 5%?

A. \$907.03

B. \$950.00

C. \$890.00

D. \$925.00

A.

B.

C.

D.

36. (Choose 1 answer)

Which of the following best explains the purpose of discounted cash flow (DCF) analysis?

- A. A company estimates taxes based on its revenue
- B. To determine stock volatility using historical data
- C. To value an investment based on its future cash flows
- D. To analyze profitability through accounting ratios

A.

B.

C.

D.

37. (Choose 1 answer)

What is the PMT required annually end of year to accumulate \$7,500 in three years at 6%?

- A. \$2,355.82
- B. \$2,000.00
- C. \$2,200.00
- D. \$2,500.00

A.

B.

C.

D.

38. (Choose 1 answer)

Jack is planning to invest in an insurance company product. The product will pay \$10,000 at the end of this year. Thereafter, the payments will grow annually at a 3 percent rate forever. Jack will be able to invest his cash flows at a rate of 6.5 percent. What is the present value of this investment cash flow stream? (Round to the nearest dollar.)

A. \$326,908

B. \$312,766

C. \$285,714

D. \$258,133

A.

B.

C.

D.

39. (Choose 1 answer)

Which one of the following statements is TRUE about the effective annual rate (EAR)?

A. The effective annual interest rate (EAR) is defined as the annual growth rate that takes compounding into account.

B. The EAR conversion formula accounts for the number of compounding periods and; thus, effectively adjusts the annualized interest rate for the time value of money.

C. The EAR is the true cost of borrowing and lending.

D. All of these are true.

A.

B.

C.

D.

40. (Choose 1 answer)

Beautinator Cosmetics borrowed \$152,300 from a bank for three years. If the quoted rate (APR) is 11.75 percent, compounded daily, what is the effective annual rate (EAR)? (Round to one decimal place.)

A. 11.7%

B. 14.3%

C. 12.5%

D. 11.6%

A.

B.

C.

D.

41. (Choose 1 answer)

Anyone analyzing a firm's financial statements should:

- A. ignore trends, because the future is unpredictable.
- B. ignore benchmarks because firms are unique.
- C. not consider competitors performance and focus on the firm.
- D. use audited financial statements.

A.

B.

C.

D.

42. (Choose 1 answer)

Which of the following is NOT true of common-size income statements?

- A. Each income statement item is standardized by dividing it by total assets.
- B. Income statement accounts are represented as percentages of net sales.
- C. Each income statement item is standardized by dividing it by net sales.
- D. Common-size income statements analysis is a specialized application of ratio analysis.

A.

B.

C.

D.

43. (Choose 1 answer)

Last year Viera Corp had \$155,000 of assets, \$305,000 of sales, \$20,000 of net income, and a debt to total capital ratio of 37.5 percent. The new CFO believes a new computer program will enable it to reduce costs and thus raise net income to \$33,000. Assets, total invested capital, sales, and the debt to capital ratio would not be affected. By how much would the cost reduction improve the ROE?

- A. 11.51%
- B. 12.11%
- C. 12.75%
- D. 13.42%

- A.
- B.
- C.
- D.

44. (Choose 1 answer)

Pedro & Son's total common equity at the end of last year was \$405,000 and its net income was \$70,000. What was its ROE?

- A. 14.92%
- B. 15.60%
- C. 16.42%
- D. 17.28%

A.

B.

C.

D.

45. (Choose 1 answer)

Which bond would be most sensitive to interest rate changes?

A. Short-term, low-coupon bond

B. Long-term, high-coupon bond

C. Short-term, zero-coupon bond

D. Long-term, zero-coupon bond

A.

B.

C.

D.

46. (Choose 1 answer)

Use the following information to answer the questions below:

Thunderbird Amusement Park–Balance Sheet as of June 30

Assets 2021 2022

Cash \$ 13,221 \$ 11,729

Accounts receivables 31,323 37,909

Inventory 77,244 91,617

Total current assets	\$121,788	\$141,255
Fixed assets	444,712	563,323
Less: Accumulated depreciation	(100,000)	(172,487)
Net fixed assets	344,712	390,836
Total assets	\$466,500	\$532,091

Liabilities and Stockholders' Equity

Accounts payable	\$ 38,549	\$ 42,881
Notes payable	12,004	16,753
Deferred taxes	21,934	16,788
Total current liabilities	\$ 72,487	\$ 76,422
Long-term debt	78,445	61,290
Common stock	125,000	175,000
Retained earnings	190,568	219,379
Total liabilities and stockholders' equity	\$466,500	\$532,091

The company had a net income of \$248,462, and depreciation expenses were equal to \$72,487.

What is the firm's cash flow from financing activities?

Thunderbird Amusement Park—Balance Sheet as of June 30

Assets

Cash	\$ 11,729
Accounts receivables	31,323
Inventory	27,611
Total current assets	\$ 70,663

Fixed assets	444,712
Less: Accumulated depreciation (116,269)	
Total fixed assets	\$ 328,443
Total assets	\$ 466,500

Liabilities and Stockholders' Equity

Accounts payable	\$ 38,549	\$ 42,881
Accrued liabilities	21,936	
Deferred taxes	21,093	
Total current liabilities	\$ 81,578	
Long-term debt	75,621	
Total liabilities	\$ 157,199	
Retained earnings	201,000	
Total earnings and stockholders' equity	\$ 532,091	

The company had a net income of \$248,462, and depreciation expenses were equal to \$72,487.

What is the firm's cash flow from financing activities?

A. -\$66,405

B. \$61,656

C. -\$61,656

D. -\$182,057

47. (Choose 1 answer)

[no text]

- A.
- B.
- C.
- D.

48. (Choose 1 answer)

There are people who believe that the analysis of financial statements has limitations. Which of the statements below would qualify as a limitation of financial statement analysis?

- A. Ratio analysis requires the analyst to evaluate a firm's performance over a period of time.
- B. Proper ratio analysis requires the analyst to rely upon audited financial statements, which can be easily manipulated.
- C. Thorough ratio analysis requires the analyst to refer to benchmarking, which is very easy to misinterpret.
- D. Ratio analysis requires the analyst to utilize accounting data that is based on historical value instead of current market values.

- A.
- B.
- C.
- D.

49. (Choose 1 answer)

Nickole wants to invest in a bank CD that will pay her 7.8 percent annually. If she invests \$11,500 today, when will she reach her goal of \$15,000? (Round to the nearest year.)

A. 5 years

B. 7 years

C. 2 years

D. 4 years

A.

B.

C.

D.

50. (Choose 1 answer)

What is the yield curve's shift due to a change in the interest rate environment called?

A. A market premium

B. A yield curve adjustment

C. A term structure change

D. A bond price fluctuation

A.

B.

C.

D.

--- NHẬP ĐÁP ÁN ---

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